

Tesla, Inc.
TSLA NASDAQ

Neutral \$321.55 ▼ 1.77%

52-Week Range
\$297.38 – \$498.83

Market Cap
\$1.27T

No Material Overnight Updates

WHAT HAPPENED

- TSLA down ~1.8% and Ford just dropped the Fathom — a \$28,350 electric pickup. That's roughly \$12K cheaper than a base Cybertruck, and it's the latest signal that legacy automakers are finally showing up to the EV price war. The market read it as another chip out of Tesla's moat.
- Meanwhile Uber tanked on soft bookings but doubled down on robotaxi — which matters because Uber is now a direct rival AND a potential partner for Tesla's robotaxi ambitions. Adds noise to the one part of the TSLA story that's supposed to be pristine.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The big policy overhang: federal EV tax credits were killed under the current administration, which directly hurts Tesla's demand at the low end of their lineup — the Model 3/Y buyers were the most credit-sensitive. On the flip side, the loosening of federal autonomous vehicle rules (NHTSA has been friendlier under this administration to self-driving pilots) is a real tailwind for Robotaxi rollout in Texas and beyond. Watch for any state-level pushback in California or New York — that's where regulatory risk actually lives now, not DC.

IS IT EXPENSIVE?

At ~\$1.27T market cap and a forward P/E around 150x, investors are paying \$150 for every \$1 of expected earnings — that's insane by auto standards (Toyota trades at ~10x) and rich even for tech. The only way this math works is if you believe robotaxi and Optimus become massive revenue lines within 3-5 years. If you strip out the AI/robotaxi optionality, the core car business is worth maybe \$150-200/share — meaning you're paying \$120+ per share for stuff that doesn't exist yet at scale.

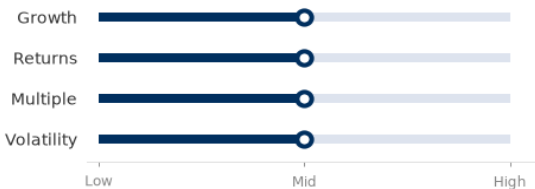
WHAT COULD GO WRONG

- EV price war accelerates — Ford Fathom at \$28K, BYD everywhere globally, and no more \$7,500 credit means margins keep compressing. If auto gross margin drops below 15%, the whole valuation model breaks.
- Robotaxi timeline slips — Musk has cried wolf on "full self-driving next year" since 2016. Another delay pushes the AI narrative out and there's nothing else to justify the multiple.

Key Data

Price (USD)	\$321.55
12M Price Target	—
Upside / (Downside)	—
Market Cap	\$1.27T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	—	—	—
6 Months	—	—	—
1 Year	—	—	—
2 Years	—	—	—
5 Years	—	—	—
10 Years	—	—	—

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.27%) and Materials (+1.23%) leading today — defensive rotation vibe. Consumer Discretionary up 6.3% over 5 days, which normally would help TSLA, but the stock is decoupling from its own sector.

COOLING OFF: Nothing outright bleeding, but Industrials flat suggests the "reflation trade" is pausing. Real Estate weak on 5-day (-1.65%) signals rates staying higher for longer — bad for growth multiples like TSLA.

ROTATION WATCH: Money's flowing into defensive names and away from mega-cap growth that already ran. TSLA is caught in the wrong bucket — too expensive to be a value play, not growing fast enough right now to be a momentum play.

RELATED PLAY: If you like the robotaxi thesis but hate TSLA's valuation, look at the picks-and-shovels — NVDA (chips for autonomy), MBLY (Mobileye), or LiDAR names. SpaceX's \$16.8B Terafab announcement in Texas also hints at the broader Musk-empire capex boom benefiting Texas semiconductor and infrastructure plays.

WHO'S WINNING IN THIS SPACE?

- F (Ford): Winning the narrative today with the Fathom launch — proving legacy automakers can hit sub-\$30K EVs, which is where the volume is.
- BYD (Chinese EV giant): Continues to eat global EV market share, particularly in Europe and Asia where Tesla used to dominate.

TSLA CONTEXT: TSLA is lagging its own sector badly — Consumer Discretionary up 6.3% over 5 days while TSLA is basically flat. That tells you this is company-specific weakness, not macro. When a stock underperforms its sector in a rising tape, that's a yellow flag — the smart money is finding better places to be.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral here. Too expensive to load up, too much optionality to short. Classic "wait for a better price" setup.

POSITION SIZE: 2-3% max if you own it. This isn't a foundation holding right now — it's a speculative bet on Musk executing on robotaxi.

ENTRY POINTS: I'd want \$300 or lower before adding — that's near the 52-week low and gives you a margin of safety. Chasing here at \$321 with the stock breaking down doesn't make sense.

TIME HORIZON: 12-24 months — you need to see robotaxi actually generating revenue in 2-3 major cities. That's the catalyst.

WHEN TO BAIL: If Q3 auto gross margins come in below 15%, or if robotaxi gets pushed into 2028, I'm cutting. Also watch for any major FSD-related accident/lawsuit — that changes the story overnight.

HEDGING: Simplest hedge — pair a TSLA position with a small long in a legacy automaker like GM or Ford. If EVs commoditize (bear case for TSLA), the legacy guys catch up and your hedge works. If Tesla wins on robotaxi, your TSLA position more than covers the hedge losses.